

World in Brief: Canada strikes back at America with tariffs; Iran and Oman discuss Hormuz



Photograph: Reuters

Canada announced **retaliatory tariffs** on \$20bn-worth of American goods, from September 8th, matching those imposed by America. Canada will double existing tariffs on steel and aluminium to 50% and impose levies of between 15% and 50% on goods such as furniture, clothing, dairy and machinery. With America's economy 13 times larger than Canada's, and thus **far better equipped to cope**, Mark Carney, Canada's prime minister has mere weeks to avoid an all-out trade war.

Brent crude fell to \$86 a barrel on reports that **Iran** and **Oman** were again discussing "a joint temporary navigational corridor" through the **Strait of Hormuz**. Iran's trading partners do not seem cowed by America's threat of economic warfare. China, which buys around 90% of Iranian oil, said that America's sanctions were illegal and that its trade with the Islamic Republic "should not be interfered with or disrupted".

John Ratcliffe, the head of America's CIA, arrived in Moscow for unannounced talks with **Russian** officials. Neither side revealed the purpose of the spy chief's visit. Earlier flight-tracking data showed an American military-transport aircraft had flown to Moscow from

a military base in America via Latvia, though the Kremlin initially denied knowledge of a planned visit.

The commander of the **Syrian Democratic Forces** said the Kurdish-led militia was disbanding and merging with the Syrian Army. The force was once America's main partner in fighting ISIS in Syria and controlled the country's north-east for more than a decade. But President Ahmed al-Sharaa's troops took much of that territory earlier this year. The SDF's commander said it would help build "the new [Syria](#)".

Two people died from **measles** in America, the country's first deaths from the disease this year. America is currently grappling with its largest measles outbreak in decades. The Centres for Disease Control and Prevention has confirmed 2,777 cases this year and warns that [vaccination rates among children](#) are falling. [In 2025](#) three people died from measles in America, the first reported deaths since 2015.

Shares in **SpaceX**, [Elon Musk's rocketry firm](#), rose after the company announced that it will spend at least \$100bn building a new launch site in Louisiana. The facility will eventually support "thousands" of annual [Starship rocket](#) flights, SpaceX said. Construction begins next year. Starship is currently launched from the company's Starbase facility in Texas. SpaceX is also adding two new launch pads in Florida.

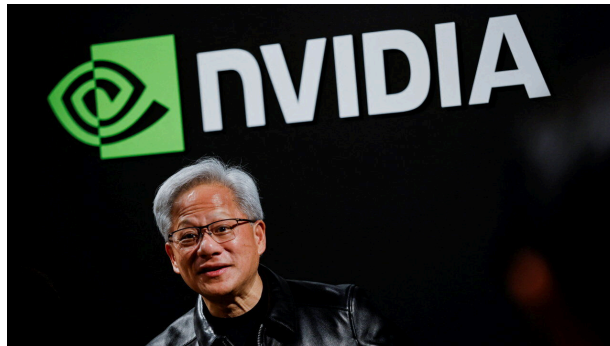
Dolly Parton, a country-music legend, died in Nashville aged 80. Born into poverty in Tennessee, she became one of the best-selling female singer-songwriters, with more than 100m records sold globally. Her hits include "9 to 5" and "Jolene". Over her seven-decade career she ventured into acting, [theme-parks](#) and philanthropy, in particular improving children's literacy.

Figure of the day: 2.5m tonnes, the expected combined weight of wheat exports from Ukraine and Russia in August—well below last

year's 6.3m tonnes. [Read about](#) the threat to global grain supplies.

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Nvidia's risky plan to sustain the AI boom



Photograph: Reuters

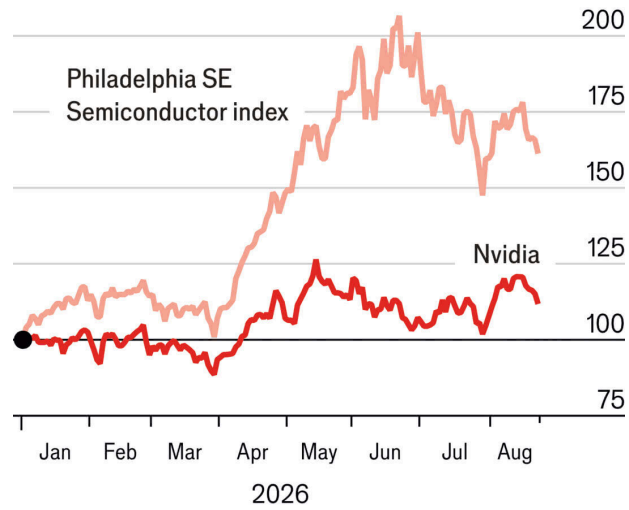
On Wednesday Nvidia, the world's most valuable company, reports quarterly results for the three months to July 26th. Analysts expect revenue to exceed \$92bn, almost twice as much as in the same period last year. Yet its share price has risen by just 12% since the start of 2026, only about a fifth as much as an index of leading chipmakers.

Jensen Huang, the company's boss, has responded with a [burst of dealmaking](#) designed to boost demand for its chips. On August 10th he announced a partnership with six big Wall Street firms, including BlackRock and Goldman Sachs, that aims to raise \$500bn to finance AI infrastructure. A week later, Nvidia agreed to provide up to \$105bn of credit support to help OpenAI, an AI lab, lease a vast data centre in Ohio.

Such deals have raised concerns about “circular financing”: Nvidia helping fund the customers that buy its chips. Mr Huang must persuade investors that the extra demand this creates justifies the financial risk Nvidia is taking.

Chip happens

Share prices, January 1st 2026=100



Source: LSEG Workspace

Investors learn to live with inflation



Photograph: FRANCK ROBICHON/EPA/Shutterstock

For much of the early 2020s, investors debated whether central banks could tame inflation without causing a recession (a “soft landing”) or whether higher interest rates would ground economic growth with a painful jolt. **Neither happened.** Inflation remains above central-bank targets in much of the rich world, even as economies keep growing.

Data on Wednesday will show whether price pressures are still building. America releases the PCE price index (the Fed’s preferred inflation gauge); Australia reports inflation figures; and Japan producer-price data. Higher energy prices since the war with Iran have added to inflationary pressure. In a recent survey 54% of fund managers expected the global economy to remain in such a state over the coming year.

Markets have adapted. Share prices have risen, thanks in part to surprisingly fast earnings growth. Bonds, which mostly promise fixed payments, have suffered. But learning to live with higher inflation does not make it benign: it can make investors and consumers behave erratically, making markets—and the economy—more volatile.

Donald Trump targets Lisa Cook (again)



Photograph: Getty Images

Lisa Cook, a governor of the Federal Reserve, has until Wednesday to respond to a letter from the White House containing allegations of mortgage fraud, sent as part of Donald Trump's latest attempt to dismiss her from her post. The Supreme Court ruled in June that presidents may fire Fed governors only for cause. But before taking action, the president must provide prior notice and hold a hearing—steps Mr Trump initially skipped.

Ms Cook is accused of making false statements on mortgage applications by listing homes in both Michigan and Georgia as her primary residence. She denies any wrongdoing; her lawyers have dismissed the charges, labelling them as “baseless”. A federal district court will judge whether these claims satisfy the legal threshold for removal.

If Mr Trump successfully [removes Ms Cook](#) and appoints an ally, he would have a Republican-appointed majority on the board, strengthening his hand as he pushes for lower interest rates. A victory could also make it easier for presidents to remove Fed governors in future, weakening the central bank's independence.

Game over for consoles?



Photograph: Alamy

Gamers will brave lengthy queues in Cologne to be among the first to play upcoming releases when Gamescom, the world's largest video-game trade fair, begins on Wednesday. Yet the industry itself is struggling. A boom in demand for memory chips from AI firms has pushed up hardware costs, making consoles more expensive and frustrating gamers accustomed to tech getting cheaper over time. Gamers have dubbed the squeeze “RAMmageddon”—a nod to the soaring cost of random-access memory chips.

Software is under pressure, too. [Blockbuster games](#) are becoming ever more expensive and time-consuming to produce, leaving longer gaps between big-budget releases. Meanwhile smartphones compete for players' time and money. Studios have responded with sweeping job cuts.

The industry is pinning its hopes on “Grand Theft Auto VI”, the latest instalment in the crime series, to provide a huge boost to console sales. But Gamescom visitors will not get to play it: Rockstar Games, its American developer, routinely skips the fair.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which 1987 comedy film features a narration by Peter Falk, the star of the Columbo TV series?

Tuesday: What type of creature did Daryl Hannah play in the film “Splash”?

*Like what you do, and then you
will do your best.*

Katherine Johnson